lakh crore; at 25 per cent, it would have been Rs 7.60 lakh crore. If the ministries and departments in the B and C categories were able to limit their expenditures to 20 per cent and 15 per cent, respectively, as mandated, the total expenditure in the first quarter would have been only Rs 7.35 lakh crore.

The expenditure restrictions imposed by the government on 8 April worked, but only to a certain extent. According to numbers released by the Controller General of Accounts (CGA) on 29 July 2020, actual expenditure for the first quarter came to Rs 8.16 lakh crore, which at 27 per cent, was lower than the normative 30 per cent. This was despite the government releasing additional funds for health and other required expenditures to deal with the pandemic.

The growth slump on account of COVID-19 and the lockdown led to more than 10 crore workers losing their jobs and growth contracting by over 15 per cent in the first half of the financial year. There was persistent demand for fiscal stimulus to address the misery of workers and help small businesses revive. The government, however, remained steadfastly tight-fisted in the first half. Perhaps it was more worried about inflation, which was rising on account of supply disruptions.

As a result of the contractionary policies pursued by the government, total expenditure at the end of September 2020 was only Rs 14.79 lakh crore, which was lower than the expenditure in the first half of financial year 2019–20 of Rs 14.89 lakh crore, even in absolute numbers.

Government Started Talking about Expanding Expenditure from October 2020

In October, the government signalled its intention to loosen up the purse strings, the impact of which was visible from November. Total expenditure in November and December—Rs 6.18 lakh crore—exceeded total expenditure of Rs 4.55 lakh crore the previous year.